

Evaluating the Impacts of a Universal Basic Income

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This paper reviews economic and policy literature on Universal Basic Income, focusing on fiscal sustainability, labor market effects, inequality, and welfare outcomes. The final section proposes an empirical research design using the Alaska Permanent Fund Dividend to study business formation.

Introduction

Universal Basic Income (UBI) is a social welfare program where all citizens receive regular payments of money from the government, regardless of employment status or income. This program aims to provide financial security, decrease poverty, and reduce inequality (Bidadanure, 2019). It has increasingly become a focus point in policy debates addressing poverty, inequality, and economic insecurity. As automation and technological advancements threaten employment opportunities in sectors around the world, and as economic inequality continues to widen, UBI has gained momentum as a possible policy device.

Proponents of UBI argue that it serves a multitude of purposes. It provides a straightforward solution to poverty and inequality, reduces the administrative costs associated with targeted welfare programs, and gives greater financial freedom to individuals who best know how to spend their money. Also, UBI can lessen the impact of economic shocks like COVID-19 shutdowns (Muir, 2023). From an economist's point of view, UBI is capable of influencing aggregate demand, labor supply, and inequality.

Implementing such a massive policy raises many significant questions. Primarily, the fiscal sustainability of UBI. Funding this program would require massive government expenditure which raises concerns about taxation and debt. All governments face budget constraints, and any large-scale cash transfer program requires careful consideration of financing mechanisms, taxation, debt, and long-term fiscal sustainability. Governmental debt has been on the forefront of U.S. politics and has only been increasing. Healthcare, social benefits, and infrastructure have all seen increasing costs putting strain on governments' fiscal responsibility. Understanding how UBI can be financed is crucial to assess its feasibility and impacts. So, any credible UBI proposal must weigh the trade-offs between taxation, economic growth, and long-term fiscal sustainability.

The UBI debate extends beyond affordability, it may also create a disincentive to work. Increasing people's income could disincentivize labor, which may impact labor participation rates. It can also increase inflation as UBI generally takes more from the wealthy and transfers money to everyone, including economically disadvantaged people who usually spend the money they receive (Goldstein, 2012). In theory this may be true, but empirical studies have shown mixed results regarding labor rates and economic behaviors. Recent studies have provided evidence that the labor supply might not be dramatically changed, but instead the quality of work may be better.

Theoretically, public finance provides a framework for analyzing the implications of a large-scale wealth redistribution like UBI. Concepts of fiscal sustainability, tax incidence, and macroeconomic stability are essential to evaluating the impacts of UBI. This literature review attempts to critically examine the existing research and analysis on UBI through the lens of public finance. It aims to synthesize theoretical models, empirical research, and policy debates. This will provide a comprehensive understanding of the challenges and opportunities associated with UBI. As societies continue to encounter economic and demographic changes, understanding UBI is increasingly important. This review attempts to contribute to ongoing discussions of UBI and social welfare programs and highlight the trade-offs and implications of UBI.

Literature Review

In Tax Policy Reform and Universal Basic Income Effectiveness in a Currency Union: Implications for Long-Term Growth, Inequality, and Welfare, Kame Babilla (2023) investigates tax policy reforms and the implementation of UBI. This study emphasizes the importance of fiscal policy design in ensuring UBI's effectiveness in promoting long-term economic growth, reducing inequality, and improving social welfare. This paper highlights how tax policy reforms can serve as a

crucial tool to finance UBI sustainably while maintaining macroeconomic stability, not just the direct effects of UBI programs.

Kame Babilla employs a macroeconomic model that captures the dynamics of a currency union, countries who share currencies with neighboring states, and analyzes how different tax reforms, like increasing progressive taxes, or wealth taxes, coupled with UBI impact macroeconomic variables. The findings suggest that specially tailored tax reforms can offset the costs of UBI, which increased public revenues without lowering incentives to work (Kame Babilla, 2023). As states in currency unions have limited control over monetary policy, tax policy is their most powerful tool for fiscal sustainability.

The author concludes that effective tax policy reforms can strengthen the economies' long-term growth by reducing inequality and improving welfare outcomes. The paper demonstrates that tax policy reforms are critical in realizing UBI's full potential, especially if monetary policy is constrained. This work contributes to the broader understanding of UBI and how important funding and comprehensive tax reforms are to the success of the program.

In *The macroeconomic effects of universal basic income programs*, Ludovice (2024) provides an analysis of the macroeconomic implications of introducing UBI. This study attempts to connect microeconomic welfare effects and macroeconomic outcomes, with an emphasis on how UBI influences key variables like aggregate demand, labor supply, and governmental debt. Ludovice (2024) also examines potential feedback loops and long-term consequences in the economy.

Ludovice uses a dynamic general equilibrium model which uses “macroeconomic theory to explain and predict comovements of aggregate time series over the business cycle and to perform policy analysis” (Del Negro & Schorfheide, 2012). The paper explores various UBI financing strategies like taxation, reallocation of existing welfare program budgets or debt. He finds that UBI can have a positive effect on aggregate demand, especially during recessions, by providing consumers with extra purchasing power (Ludovice, 2024). This increased purchasing power can

alleviate recessionary pressures and stimulate economic growth. The study also highlights challenges like inflation, labor shortages, and debt that could arise from the program.

The labor supply's response to UBI is also important. His model shows that, depending on the design of the program, labor is either neutral or decreased due to UBI. Calibrating the UBI payments is essential in order to avoid significant impacts on labor participation incentives. If the payments are too high, people will generally work less. This paper shows that in the short run, UBI can increase consumer welfare and stabilize demand, but in the long-run, sustainability is a critical concern, especially if the program is funded through debt (Ludovice, 2024).

Ludovice concludes that UBI can contribute to economic stability and growth, especially in times of economic uncertainty, when implemented with appropriate fiscal policy. He argues that policy makers must assess the tradeoffs involved. Inflation, runaway debt, and labor market effects are all possible negative impacts of UBI if not implemented correctly.

In *The Political Theory of Universal Basic Income*, Bidadanure (2019) shifts away from the economic evaluations to offer a more political and philosophical look at UBI. She begins to look at UBI through a lens of economic justice, equality, and freedom. Although UBI has roots in social democratic, anarchist, and socialist ideas, this paper focuses on a more recent wave of political and philosophical arguments. Bidadanure explains how Van Parijs's 1991 paper, *Why Surfers Should be Fed: The Liberal Case for an Unconditional Basic Income*, caused a surge in philosophical UBI literature. Rising Inequality, poverty, and growing labor market concerns which renewed attention to UBI debates. UBI has shifted from an idea to a mainstream policy debate in which pilot programs have been tried in Kenya, Namibia, Canada, and the US.

Bidanure (2019) distinguishes UBI from other welfare programs by reviewing its five defining features: cash, individual, unconditional, universal, and regular. Cash allows recipients maximum freedom by not placing restrictions on what it can be used for. Individual benefits ensure that everyone retains financial security, especially in households with unequally distributed

resources. Unconditional breaks from traditional welfare programs that provide support given certain criteria are met. This reflects the view that income security should not depend on labor force participation, especially for those involuntarily unemployed. Universal is presented as a way to avoid stigma, increase participation, and prevent division between those deemed deserving and undeserving. Regular refers to regular payments, not lump-sum, which provides continuous economic security. UBI is built around these core features, but policy proposals for UBI vary drastically in funding, payments, and policy replacements.

With a basic UBI structure defined, Bidanure turns towards the debate of UBI. She reiterates Van Parijs's claim that UBI promotes "freedom for all" (as cited in Bidanure, 2019). She argues that the libertarian view of taxation overlooks a key fact that freedom requires access to resources. UBI funded through unearned advantages like inherited wealth, can increase real opportunities available to the least advantaged. Opponents to UBI argue that employment is beneficial to well-being, and unconditional income may undermine individual contribution to society. Bidanure responds to these criticisms by stating some jobs are degrading or dangerous, and the goal of policy should be to enhance people's lives rather than impose what other people may conceive as beneficial.

Another main debate line is of responsibility and reciprocity (Bidanure, 2019). Critics claim that UBI allows individuals to live off other people's labor. Bidanure explains that these arguments rest on the assumption that productive labor is morally superior. Economic success relies heavily on luck, family background, and access to privileged jobs. Also, redistributing a portion of these unearned advantages is not exploitive, rather levelling the playing field. She argues that those refusing to enter the labor market may be doing so for good reason, they may be doing unseen work that is more useful or productive than if they had a legitimate "job" (Bidanure, 2019).

In *On How Ontario Tried Basic Income* (Ferdosi et al., 2022), researchers analyze the impact of Ontario's Basic Income Pilot which launched in 2017. This pilot program targeted low-

income adults 18-64 with earnings under \$34,000 CAD, with benefits being reduced by 50% for each dollar of earned income. This assistance is much greater than the traditional social assistance program which ranged from \$721-\$1,151. The pilot program paid up to \$1,415 and was planned for three years and supported 4,000 people. Unfortunately, in 2018 a new government was elected, and the program was cancelled after 18 months before any evaluation or data could be collected. Due to this limitation, researchers undertook their own data collection efforts (Ferdosi et al., 2022).

These independent researchers surveyed or interviewed ~1000 participants to understand the effects despite the shortened program lifetime. They found consistent, positive effects on physical and mental health. A majority, 83%, reported mental health improvements, 79% reported increased well-being, and 74% had increased activity levels. The use of alcohol and tobacco was also reported to be lower for recipients. The employment rate stayed relatively stable, but some reported better wages, working conditions, and job security (Ferdosi et al., 2022).

In *The Effects of a Universal Basic Income during the Covid-19 Pandemic in Kenya* (Banerjee et al., 2020), the authors examine whether UBI can provide a buffer for poor households against large negative shocks by analyzing Kenya's ongoing UBI experiment against the COVID-19 shock. At the time of the pandemic, this UBI program had been going for one year, which allowed researchers to evaluate whether sustained, unconditional cash transfers could act as insurance during the pandemic and Kenya's regular agriculture lean season.

The research looked at two counties where the majority of households lived below the poverty line. Researchers randomly assigned 15,000 households into four groups: comparison/control, long-term UBI, two-year UBI, and a lump-sum group. Transfers started in 2018, and continued into the pandemic, allowing researchers to compare pre, mid, and post pandemic data (Banerjee et al., 2020).

The results indicate that the UBI did provide partial protection during the crisis. Before the pandemic, many recipients used the funds to diversify their income streams and expand into non-

agriculture businesses. These businesses did stay open during the pandemic, but saw a sharp decline in earnings, eliminating the previous income gains (Banerjee et al., 2020). The authors were unable to separate the impact of the pandemic, and the usual seasonal income drops. A key factor is how people used the additional income from UBI to expand their revenue streams which exposed them to risk which was amplified when the pandemic hit (Banerjee et al., 2020).

Despite the lost profits, transfer recipients fared better than non-recipients. The UBI group was 5-11% less likely to report hunger, 4-6% less likely to report illness, and reported better mental health outcomes depending on which transfer program they were assigned (Banerjee et al., 2020). The lump-sum group and control group both showed no changes in mental health outcomes signaling that ongoing support is more impactful for mental health than a one-off transfer. Public health was also analyzed in this study. Transfer recipients reduced hospital visits, which eased pressure on the healthcare system, and made fewer trips to visit friends and family. This is evidence that cash transfers did not encourage harmful public health behaviors (Banerjee et al., 2020).

This study shows that while UBI did not shield recipients from all the aspects of a negative shock, it did soften the impact. Even with the risk-taking behavior by many recipients to invest in new revenue streams, they experienced better food security, health, and mental well-being than non-recipients.

The McKinsey Report analyzed Finland's UBI experiment (Allas et al., 2020). For two years, 2017-2018, Finland selected 2,000 citizens receiving unemployment benefits to instead receive a basic income of €560. The control group was the rest of the population receiving regular unemployment benefits, about 175,000 people. If selected, treatment was mandatory in order to avoid selection bias, and both groups were almost identical regarding demographic and socioeconomic conditions. The basic income amount was similar in value to the existing unemployment benefits, but were unconditional, non-taxed, and unaffected by the individual's earnings (Allas et al., 2020).

The policy's main research goal was measuring employment impacts. The final results showed a small but positive difference in days worked for those receiving the UBI benefit (Allas et al., 2020). These effects were modest and do not suggest that UBI substantially changes the labor supply. The survey did reveal improvements in well-being for the treatment group. The participants reported higher life satisfaction, less economic and mental stress, and fewer negative encounters with bureaucracy. These results suggest that a modest basic income can significantly improve psychological well-being, without reducing employment or increasing costs of unemployment benefits. Unfortunately, with this program only being applied to already unemployed people, and only for two years, it is hard to draw conclusions about a full UBI program (Allas et al., 2020). It does provide evidence that cash transfers can meaningfully improve quality of life without raising costs.

In *The Labor Market Impacts of Universal and Permanent Cash Transfers*, Jones and Marinescu (2018) analyze the impacts of the Alaska Permanent Fund payments on the Alaskan labor market. Since 1982, every Alaskan resident has received an annual, unconditional cash transfer, around \$1,000-\$2,000 per person, funded through oil revenues. Unlike many other programs, this cash transfer is universal, unconditional, permanent, and regular, making it one of the closest real-world examples of UBI.

The authors use 40 years of data from the Current Population Survey (CPS) and utilize a synthetic control model to construct a counterfactual “Alaska” to approximate what Alaska’s labor market might have been if there were no permanent fund. This method allows the researchers to analyze long-run changes in employment, and labor force participation. Their key outcome variables being tested are employment-to-population ratio and the share working part time (Jones & Marinescu, 2018).

The authors found no significant reduction in employment, despite expectations that UBI would reduce the labor supply (Jones & Marinescu, 2018). The labor-to-population ratio in Alaska

closely tracked that of the synthetic control model for more than 30 years after the introduction of the dividend. The most notable change was in part-time work. The data shows a 1.8% increase in part-time work, a 17% rise relative to the pre-dividend average. The authors explain this as evidence of a small intensive-margin labor response, people may adjust their hours, but they do not leave the labor force. Authors also note that the increase in part-time employment may be driven by new entrants into the labor market, where the UBI helped with the fixed costs of receiving employment (Jones & Marinescu, 2018).

Jones and Marinescu elucidate the absence of a decline in employment by explaining the role of general equilibrium effects (Jones & Marinescu, 2018). With the dividend being universal, overall consumption increases and boosts labor demand. They highlight that the non-tradable sector benefits the most from increased consumption, as employment reductions only appeared in tradable sectors. Alternative explanations for the steady labor force participation rates could be the payment being too small to impact the labor market. The authors respond by showing that for a family of four, the dividend can be more than \$5,000 annually, which is comparable to the Earned Income Tax Credit (EITC) which has documented impacts on the labor supply. Overall, Jones and Marinescu (2018) conclude that the positive macro effects offset the negative micro impacts of a UBI, leading to a net zero impact on the labor market in the long-run.

In *The Employment Effects of a Guaranteed Income: Experimental Evidence from Two U.S. States*, Vivalt and coauthors (2024) evaluate how a substantial unconditional cash transfer influences labor supply, and overall well-being. This study covers 3,000 low-income adults across Texas and Illinois between the ages 21-40 living in households with incomes below 300% the federal poverty line. The treatment group of 1,000 subjects received \$1,000 a month for three years while the control group of 2,000 subjects received \$50 (Vivalt et al., 2024).

The authors found moderate reductions in labor supply due to the cash transfer. They reported earned income fell by ~\$1,800 annually, and employment declined by 3.9%, and hours

worked fell by ~ 1.4 hours a week. The study also explains how partners of recipients also saw reductions in labor market participation, suggesting that unconditional income impacts the household and not just the direct recipient (Vivalt et al., 2024). Overall, these findings show a moderate impact on the labor supply due to a cash transfer.

The researchers also analyzed the time-use of the recipients. They found that the reductions in work did not translate to job searching, schooling, caregiving, or entrepreneurial activities. Most subjects used the extra time as leisure, with little change in human capital investment (Vivalt et al., 2024). The survey results did show that the recipients were interested in entrepreneurship, but the data showed no increase in business creation. This pattern extends to educational achievement as well, with only younger recipients showing a small non-robust increase in schooling.

Proponents of UBI usually argue that it gives recipients power to seek better employment. These researchers find no evidence of that. Across indicators like wages, job security, working conditions, and job satisfaction, the authors find no improvement due to the cash transfer. These results are significant and show that guaranteed income is not enough alone to change labor conditions (Vivalt et al., 2024).

Despite the lack of improved labor conditions, the UBI program did increase consumption. Recipients spent most of their transfer quickly on nondurable goods, and services. Savings did not rise substantially, indicating recipients treated the transfer as spendable income, not a long-term plan (Vivalt et al., 2024). This also implies the standard permanent income hypothesis may not apply to the participants behavior. Respondents also reported improved well-being the first year of the program, but these gains faded over time, returning to levels similar to the control group (Vivalt et al., 2024).

Vivalt and coauthors conclude that a sizable, unconditional income program results in moderate labor supply reductions without offsetting improvements in job quality, wages, and human capital investment. While the program did improve well-being temporarily and increased

consumption, the evidence provides little support that UBI yields large structural benefits. These findings contribute to the broader UBI literature by showing a cash transfer can alleviate short-term hardships, but it does not seem to fundamentally change labor market outcomes, or future opportunities for the majority of participants.

Conclusion

The literature on Universal Basic Income reveals a complex policy where theory and reality may differ. Across diverse programs, from Kenya, Finland, Ontario, and Alaska, cash transfers have consistently improved well-being, economic security, and reduced stress. These effects are repeatedly found even with varying program design, scale, and socioeconomic conditions. The strongest consensus is that UBI improves mental health, food security, and subjective well-being, suggesting that UBI can reduce hardship for vulnerable populations. Concurrently, the fear that UBI will destroy work incentives has little empirical support. Most studies show a modest or no impact on the labor supply, while some, like the Alaskan example, show stable employment due to offsetting demand effects.

The evidence surrounding labor market responses is ambiguous. Some programs like Finland's experiment and Alaska's dividends, show little to no reduction in labor supply, while others, like in Illinois and Texas, do show moderate declines in the hours worked. The mixed findings highlight the importance of program design, duration, and economic conditions. Rather than showing a universal labor response to the UBI, the literature shows that unconditional income produces differing results based on the context. This ambiguity underscores the need for continued research, especially on long-term labor impacts, employment quality, and broader macroeconomic effects.

Taken together, the reviewed literature suggests that UBI is a powerful tool for improving individual welfare and providing economic stability and its impacts depend on policy design, and economic environment. As debates on automation, AI, and inequality continue, UBI should remain central to discussions on how modern governments can support their populations. The evidence reviewed in this paper highlights both the potential and complexity of UBI, emphasizing the importance of further empirical investigation on labor effects, fiscal sustainability, and the long-run impact of unconditional income programs.

Research Plan

To extend the literature surrounding UBI, I would conduct an empirical study examining how the Alaska Permanent Fund (PFD), impacts rates of new business formation in Alaska. Much of the literature regarding UBI relates to labor market outcomes, but this research would focus on entrepreneurial activity. Since entrepreneurship requires capital and risk, it would be interesting to see how a UBI impacts the opening of new businesses, similar to the Kenya experiment (Kame Babilla, 2023).

This analysis would combine data from Alaska Department of Revenue where dividend information is found, and the Census Bureau provides data on the number of businesses. A counterfactual state would also need to be constructed. Data from states with similar characteristics without a UBI would be used to create the counterfactual Alaska without a UBI. This would create a panel dataset allowing robust analysis techniques.

Given that the first dividend checks were first issued in 1982, a Difference-in-Difference (DiD) model is excellent for identifying the impacts of a policy. The DiD model would compare the change in new business formation before and after the introduction of the dividend, to the changes in the artificial Alaska. The model would look like:

$$New_Business_{st} = \alpha + \beta(Alaska_s \times Post_t) + \gamma_s + \delta_t + \epsilon_{st}$$

$New_Business_{st}$ is the variable of interest, it measures new business formation in state s at time t . The α is the y intercept, the level of new businesses if all other variables were 0. The β measures the impact of the PFD on new business formation, while $Alaska_s \times Post_t$ is the interaction term. This equals 1 only for the real Alaska after the policy is implemented and is key for the DiD model as it isolates the real Alaska. The γ_s captures the state fixed effects, and δ_t captures the time fixed effects. The error term, ϵ_{st} , captures the unobserved factors impacting new business formation.

The primary hypothesis of this research is that the PFD stimulates new business formation by relaxing the financial constraints associated with starting a new business and the increased aggregate demand from the transfer. This hypothesis is built from the idea that a cash transfer provides increased liquidity which stimulates demand, and as we saw from the Kenya UBI study, provides capital and safety to take the risk. Alternatively, if this study shows a decrease in new business formation, it may be due to labor market pressures. If UBI does decrease the labor supply, firms may have a harder time finding workers, or need to pay increased wages, putting pressure on these firms.

Given the literature discussed in this paper, I would expect to see a slight increase in new business formation in Alaska due to the PFD. The PFD is not financed through taxes, but through their natural resources, so there is no deadweight loss or even a transfer away from wealthier Alaskans. The study done in Kenya (Kame Babilla, 2023) points towards some people using the dividend to open new businesses. Overall, the increases in consumption and liquidity should have expansionary power in the formation of new businesses in Alaska due to the PFD.

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